PRINCIPLES OF ECONOMICS

Salimah Musharrif

FPEC 101 – LECTURE 10

Unit 2

PRINCIPLES OF ECONOMICS

Production Costs and Market Structures

FPEC 101 – LECTURE 10

Unit 2

Market Structures- Monopoly. Monopolistic Competition

Outline

- Monopoly
  - Price Discrimination
- Monopolistic Competition

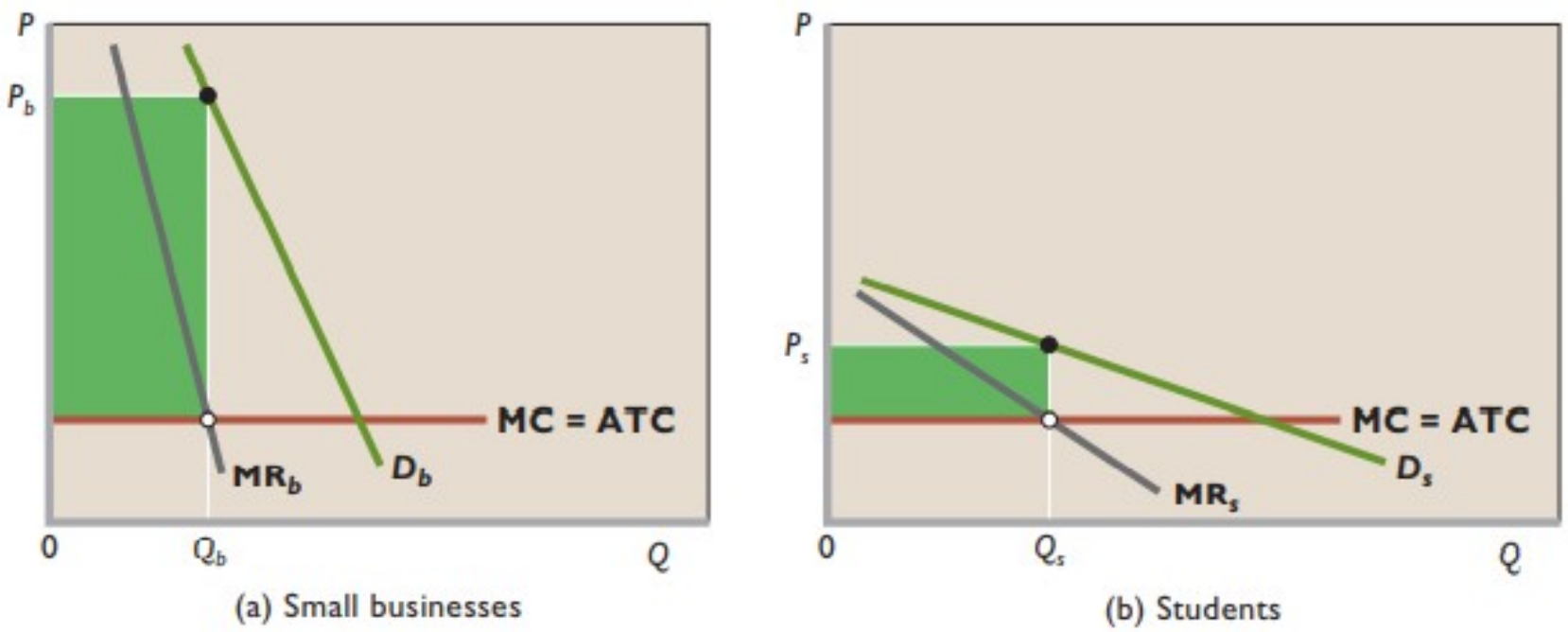
Price Discrimination

- Under certain conditions the monopolist can increase its profit by charging different prices to different buyers based on the elasticity of demand.
  - Charging each customer in a single market the maximum price she or he is willing to pay
  - Charging each customer one price for the first set of units purchased and a lower price for subsequent units purchased.
  - Charging some customers one price and other customers another price.

Price Discrimination

- Necessary Conditions....
  - Monopoly Power
  - Market Segregation
  - No Resale

Price Discrimination



The price-discriminating monopolist maximizes total profit by dividing the market into two segments, inelastic and elastic

- It then produces and sells the MR =MC output in each market segment.
- Assuming ATC constant and MC=ATC at all output levels.
- The firm charges a higher price in the inelastic market
- A lower price in the more elastic market.
- Total profit is larger than it would be with no discrimination and single price

McConnell & Brue pg. 438

Public vs Private Monopoly

Feature	Public	Private
Finance	Government	By selling shares, savings
Motive	Provision of welfare services and not profit	To produce what ever is demanded
Prices	Affordable	Higher prices as profit is the motive
Administration	Board formed by government ministry	Board formed by private investors
Investment	Greater investment	Lesser investment
Efficiency	Less efficient	Greater efficiency
Payment	By paying taxes	Paying for product bought
Functioning	Cannot run smoothly for long run plans because of inflation Etc	Runs smoothly
Burden	On taxpayer	On private investors
Shut down	Supported by government in case of losses	May be shut down or nationalized

Perfect Competition vs Monopoly

Efficiency :

- Under perfect competition the firm is forced to produce as efficiently as possible due to high competitiveness and the same price per unit. If costs are high and prices cannot be raised, the high-cost producer will receive a lower profit per unit and inefficient firms will have to leave the industry

In monopoly if economies of scale are achieved, it is most beneficial for the monopolist because he can charge as high a price as possible

Prices :

- Under perfect competition prices are kept low to attract customers.

A monopolist can charge a low price to earn a profit since they produce on a large scale and this price may be lower than that under perfect competition. Alternatively they may charge a much higher price especially if the firm is inefficient to cover its costs.

Perfect Competition vs Monopoly

Retained profit

- In perfect competition there's no profit left over for investments and research

  In monopoly if economies of scale are achieved, it is most beneficial for the monopolist because he can charge as high a price as possible

Supplier

- In perfect competition the consumer can switch to an alternative supplier if not satisfied

  A monopolist is a single supplier offering no such choice to the consumer.

Perfect Competition vs Monopoly

Production

- Under perfect competition, those firms that produce products requiring huge investments and capital equipment need at least the entire home market to cater to, to operate at full capacity. If there is more than one firm it has to operate below capacity with higher costs so that there are poor prospects in export markets.

In monopoly since the whole market is guaranteed prices are more competitive and huge outputs can be produced owing to benefits of economies of scale.

Response

- Under perfect competition producers respond in an expected manner so that if demand increases and price increases they increase production. When all competitors increase production, supply exceeds demand and price falls so that in the next production period there will probably be a shortage.

Monopolists on the other hand react to changes more effectively as they are single suppliers and can therefore estimate the market trend more accurately.

Perfect Competition vs Monopoly

Price

- Under perfect competition the same price is charged by all competitors based on most efficient production, that is, where price=average cost=marginal cost.

A monopolist charges a higher price much greater than average cost or Marginal cost by restricting output.

Consumer sovereignty

- Under perfect competition the consumer is the king and whatever he demands is supplied. There is also a variety of suppliers and producers to choose from.

Under monopoly consumers sovereignty is less as there's only one supplier and the producer is in a stronger position.

Monopolistic Competition

Monopolistic Competition

A market structure characterized by

- A relatively large number of sellers
- differentiated products (often promoted by heavy advertising)
- easy entry to, and exit from, the industry.

The first and third characteristics provide the “competitive” aspect of monopolistic competition; the second characteristic provides the “monopolistic” aspect.

Monopolistic Competition - Features

- A relatively large number of sellers
  - Small Market Shares
  - No Collusion
  - Independent Action
- Differentiated products (often promoted by heavy advertising)
  - Product Attributes
  - Service
  - Location
  - Brand Names and Packaging
  - Some Control Over Price
- Easy entry to, and exit from, the industry.

Monopolistic Competition- Features

- Heavy Advertising
  Monopolistic competitors advertise their products, often heavily to achieve successful product differentiation
- Goal of differentiation and advertising, referred to as nonprice competition is to increase product appeal and price less of a factor for consumer purchase. Successful measures will increase demand shifting it to the right and making it relatively less elastic.

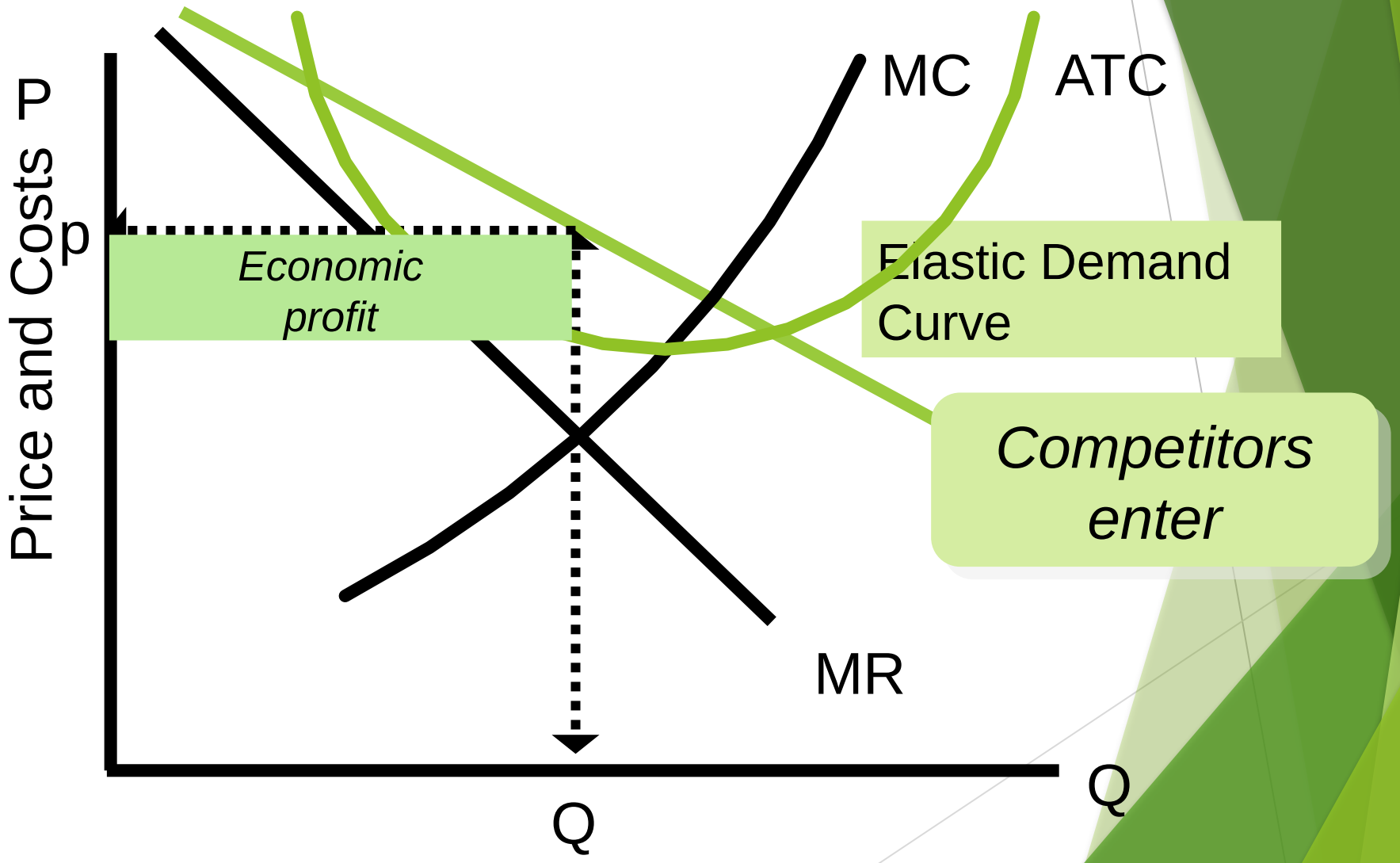
Price and Output Determination

- Highly elastic Demand curve- Distinguishing feature from Perfect competition and monopoly
  The monopolistic competitor's *demand is more elastic than the demand faced by a pure monopolist* because the monopolistically competitive seller has many competitors producing closely substitutable goods. The pure monopolist has no rivals at all.
  Demand is not perfectly elastic like that of *the pure competitor* because of fewer rivals and that products are differentiated, so they are not perfect substitutes.
- The price elasticity of demand faced by the monopolistically competitive firm depends on the number of rivals and the degree of product differentiation. The larger the number of rivals and the weaker the product differentiation, the greater the price elasticity of each seller's demand, that is, the closer monopolistic competition will be to pure competition
- Short run, profits and losses
- Long run profit or loss – normal profit

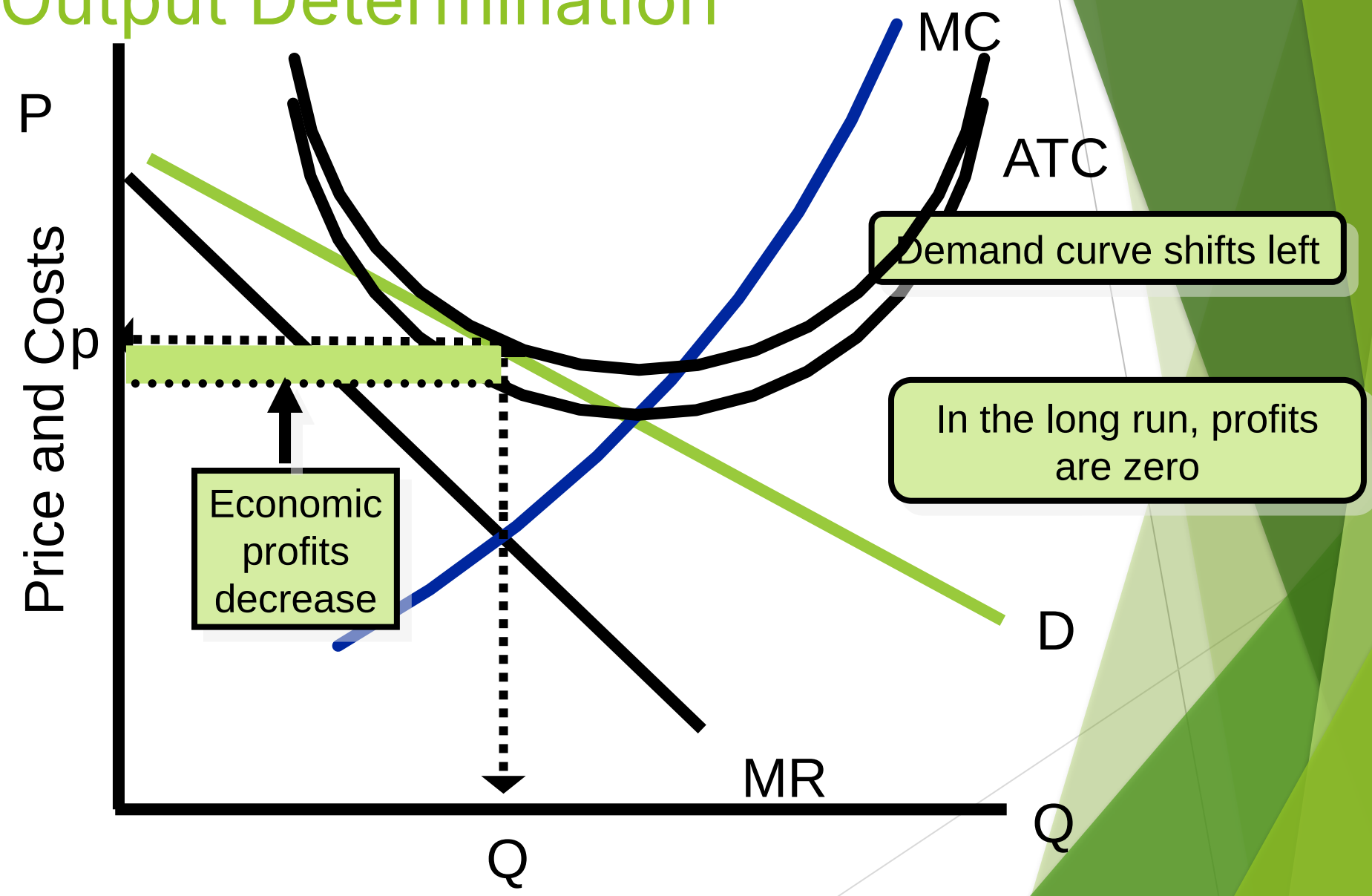
Price and Output Determination

- Profits
  In short term, if profit, other firms are attracted, firms enter, demand for business falls, shifts left, each firm has a smaller share of total demand, larger number of close-substitute products, economic profit reduced. When entry of new firms has reduced demand to the extent that the demand curve is tangent to the average-total-cost curve at the profit-maximizing output, the firm is just making a normal profit. (long run)
- Loss
  With short term loss, fewer substitute products and expanded share of total demand, the surviving firms face demand increase, curves shift to the right, Their losses will disappear and give way to normal profits in long run.

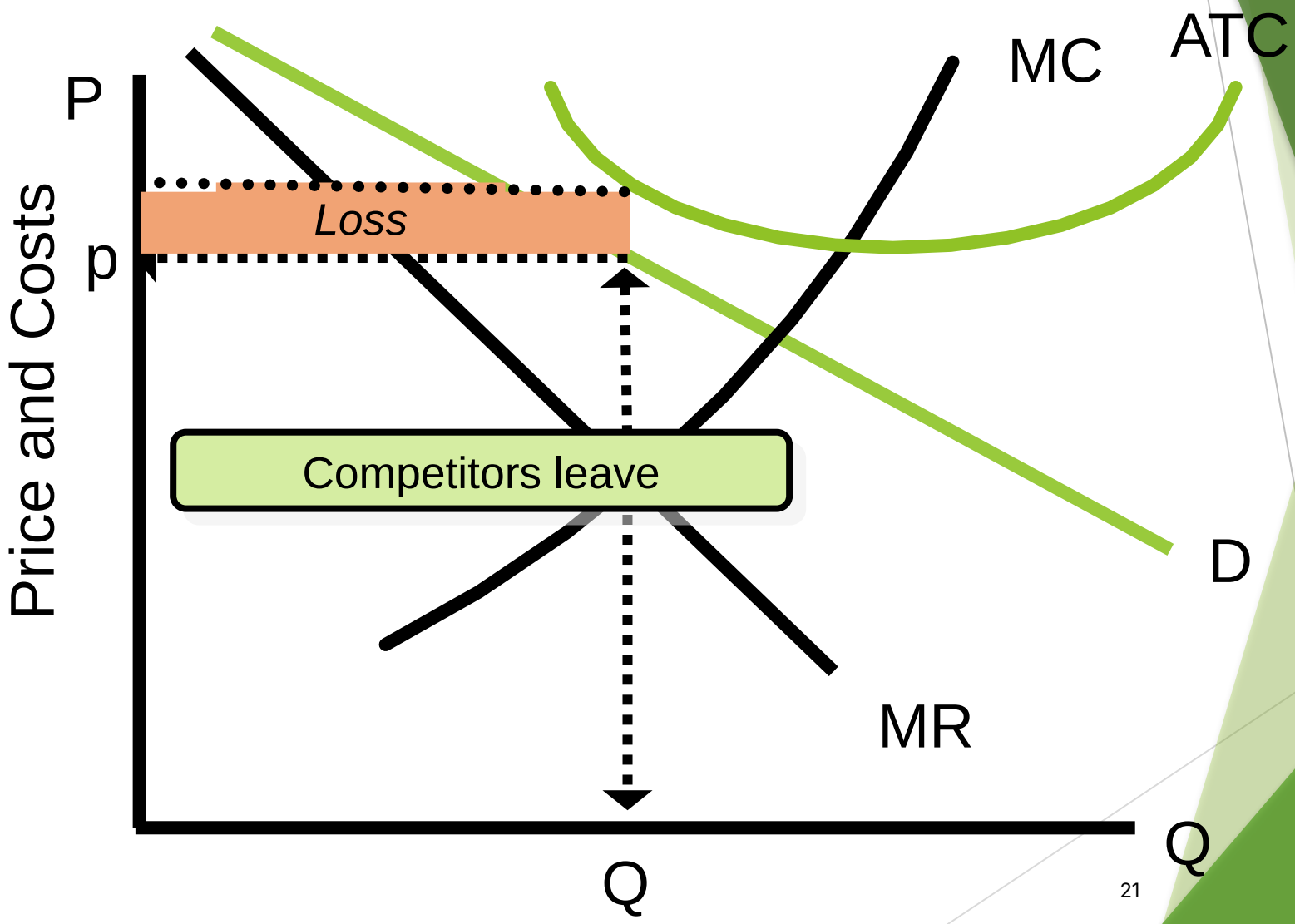
Price and Output Determination



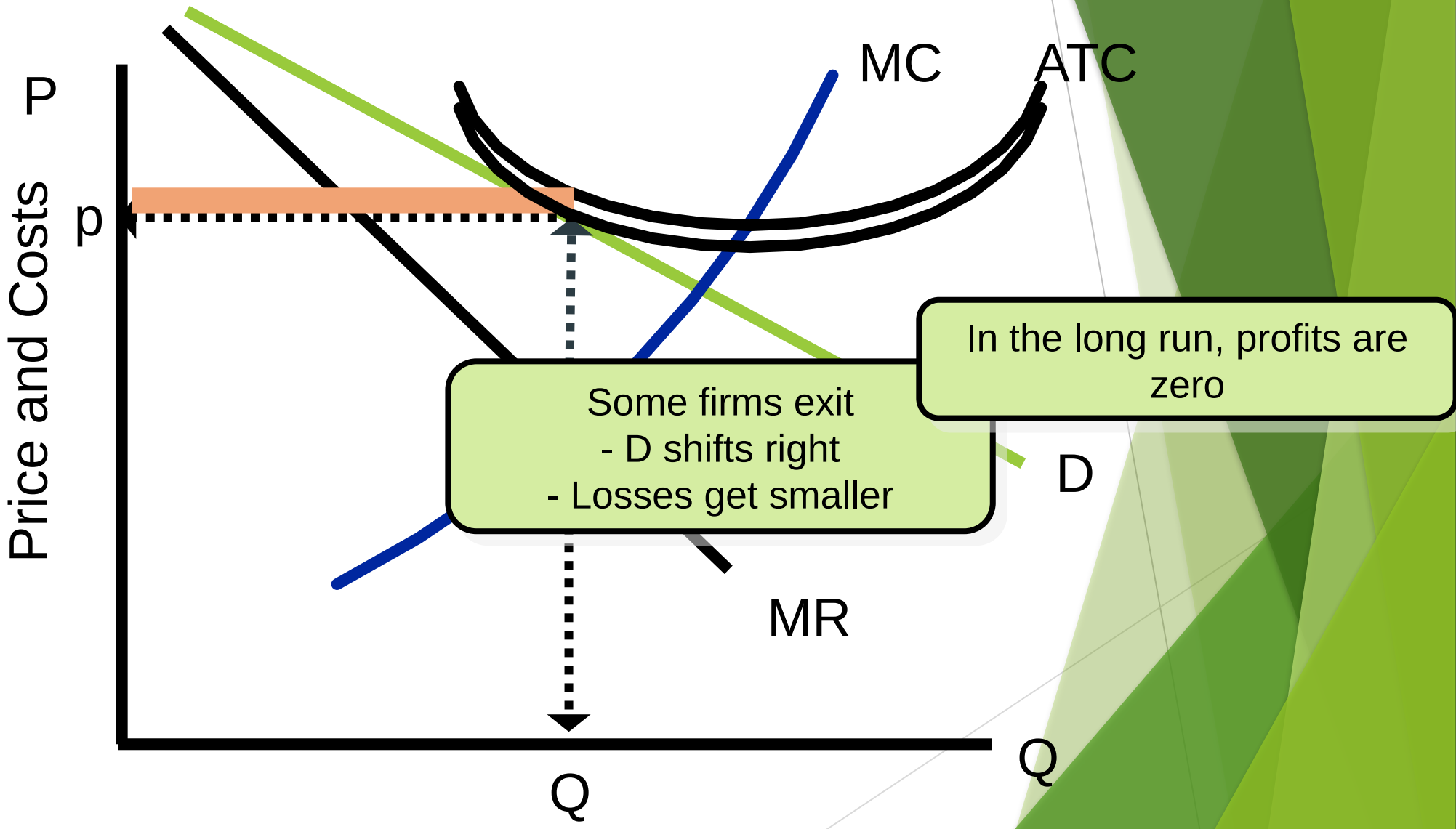
Price and Output Determination



Price and Output Determination



Price and Output Determination



Exceptions to normal profit in long run

- Product differentiation that other firms cannot duplicate even over time
- Product differentiation requires large finance becoming a barrier to entry compared to if products were standardized. This suggests some monopoly power, with small economic profits to continue even in long run.

SUMMARY

- Monopoly
  - Price Discrimination
    - Conditions
    - Output Determination
    - Public vs Private Monopoly
- Perfect Competition vs Monopoly
- Monopolistic Competition
  - Definition
  - Features
  - Price-Output Determination
  - Exceptions to normal profit in long run